

IRFC — Indian Railway Finance Corporation Ltd

Sector: Financials | Sub-sector: Speciality Finance

Incorporated in 1986, Indian Railway Finance Corporation borrows funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways as finance lease

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
13.0%	5.7%	24.1%	8.38	7,906	19.1%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2015-03	6,939	758	8.7	8.6	0
2016-03	7,507	849	7.4	7.5	-16,376
2017-03	9,047	934	7.8	7.6	-19,453
2018-03	9,267	2,055	14.8	6.2	-28,074
2019-03	11,134	2,255	9.0	5.6	-41,747
2020-03	13,421	3,192	10.5	5.0	-62,700
2021-03	15,771	4,416	12.3	4.4	-89,907
2022-03	20,299	6,090	14.9	4.7	-64,417
2023-03	23,722	6,167	13.8	5.1	-28,588
2024-03	26,645	6,412	13.0	5.7	7,906

Financial health score: N/A | Band: nan

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	35,914	323,145	380,482	380,482
2022-03	40,997	388,440	449,980	449,980
2023-03	44,681	418,935	490,359	490,359
2024-03	49,179	412,039	485,082	485,082
2024-09	51,465	403,111	494,348	494,348

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	-62,701	1	62,697	-2
2021-03	-89,907	0	90,202	296
2022-03	-64,412	-5	64,266	-151
2023-03	-28,588	0	28,644	56
2024-03	7,914	-8	-8,046	-140

Capital allocation: Reinvestor / Returns

CFO quality score: 100 | CapEx intensity: 0.0% | FCF conversion: 29.8%

Pros

Positive free cash flow in the latest available year.; Revenue CAGR exceeds 15% over five years.; Profit CAGR exceeds 20% over five years.; Operating cash flow exceeds reported profit, supporting earnings quality.

Cons

Debt-to-equity exceeds 2x; leverage warrants attention.; Free cash flow is not positive across the latest three-year window.; Interest coverage is below 1.5x.

